Although the USA was willing to cooperate with India, partly due to Rajiv's open-minded approach on the world stage, the CIA had made it clear that cooperation is a two-way street and Washington would expect New Delhi to provide assistance in return. This literally meant that New Delhi was required to be vocal on the issue of international terrorism. The CIA was perturbed by India's stand that that terrorism unrelated to India was none of its business. The Americans were particularly peeved that India had privately condemned Iran's 1979 seizure of the US embassy, making its staff hostages, but turned aside US pressure to be part of official statements condemning the act and also did nothing to help ease the crisis. They were also angry that New Delhi had reacted to the bombing of the US embassy in Beirut in April 1983 by suggesting that Washington's refusal to recognise Palestinian rights of self-determination was a key source of US troubles in the Middle East.

In September 1985, Prime Minister Rajiv Gandhi met his Canadian counterpart Brian Mulroney and expressed concerns over the free run of Sikh extremists in several cities of Canada. In the meantime, the ISI tried to sabotage the Indian espionage network by feeding information to the Canadian media about Indian spies penetrating Sikh militant outfits in Vancouver and how Indian agents were bankrolling moderate groups in the local Sikh community to counter the hardcore fringe groups.

Krishna told me that the Babbar Khalsa, founded in the late 1970s with the aim to establish an independent Sikh state, was the most powerful Khalistan organisation, with branches in Canada, Pakistan, the US and European countries. It was known to the CSIS that the Babbar Khalsa had been behind the